Lichen

L2s In CHannels ENforced by bitcoin

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Version 0.4, October 2026

Abstract

A *contract* with a hub lets a user hold the hub's tokens on a layer 2 and withdraw them as bitcoin without trusting the hub for honesty or liveness. The L2 tokens are collateralised by the bitcoin in the user-hub multisig output[1], and if the hub refuses a withdrawal, or cannot answer because it is offline, it is enforced on Bitcoin. The only assumptions are those of the layer 2 itself. No change to Bitcoin's consensus is required. A withdrawal is a claim that a program, the withdrawal statement, ran on some input and produced an output: the statement is proved with RISC Zero and wrapped in Groth16, and a disputed claim is settled on Bitcoin by a *verification gadget* that checks the Groth16 proof: the one chosen is BABE [5], using witness encryption and garbled circuits, in four or five transactions (BitVMX [12] is also implemented and tested). Withdrawals are executed cooperatively in the contract — the normal case, because the statement is deterministically verifiable in milliseconds — or, otherwise, a refused one is played as a dispute on chain, set up at the start of each contract. The trustlessness gain is paid for with liquidity (with receiving ability only contingent on offered "inbound" from the hub, as in Lightning). The hub (but not user) must also stay live during normal operation, since an offline hub loses disputes by timeout. The design, including an example privacy-focused, shielded note style L2, is built and measured in [11].

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1. Obvious objections to Lichen and why they're mostly wrong

One central hub is dangerous. If the hub disappears, the user gets the money. The hub cannot Sybil attack users by printing tokens fictitiously; the honest users' money is all backed. The only remaining risks are inherent to the L2 itself (is it a validity rollup or a quorum? Does it inherit finality from Bitcoin or is finality weaker? Etc.)

Bridges usually mean you can only withdraw a fixed size utxo, meaning operators and relying on swaps. Surely that applies here? No. The withdrawal amount is encoded in bits in the bitcoin transaction witness, in dispute. This allows us to withdraw arbitrary amounts via multiple outputs of certain denominations [5.2].

Don't these constructions usually require a 1 of n honesty assumption from a signing committee? Not here: we avoid this by the LN-GAP [1] trick: the contract is a *bilateral* contract between the hub and each user; the presigning happens between them, just as in Lightning.

But if a bunch of users open contracts with a hub, they can just .. pay each other through Lightning channels? A correct critique, partly, if the L2 ledger doesn't do anything but plain payments. Even then, you could avoid receiver liveness being needed, avoid routing and other minor things. But the real answer is: the L2 can offer more functionality. It can offer private payments, smart contracts, etc.

But this is an IOU/ hub's token, so it's not actually bitcoin. Incorrect with a crucial caveat. See the first point: every sat is redeemable via the user-hub contracts, *without* the hub's permission, via the contract utxo, so these are actually bitcoin *but only as long as you have liquidity to receive them.* A new user on L2 without a contract with the hub, or a user holding a balance on L2 in excess of their inbound liquidity in their own contract, is holding *credit*, and has no such guarantee. But that's their choice.

But still, a single central hub feels like bad design. Why not multiple hubs? Having multiple hubs *will* make sense — see Section 6, but done naively, it is broken. It's because of what these L2 tokens are. They are fungible, enforceable claims on the hub's money; they are minted by the hub itself, just on its own say-so. If you had hub 1 and hub 2, those claims are not transferrable trustlessly to the hubs themselves. If hub 2 prints a billion sats out of nothing

and users accept it on the L2 they can redeem it with hub1, leaving hub1 out of pocket. From this line of thinking we see an interesting comparison with ecash servers: the hub can print as much as it likes, but it cannot steal/"rug".

So what's the catch? The negatives are twofold: one is liquidity, and this is easy to understand as the analog of the inbound liquidity pain point in Lightning, because it's basically the same thing. Such a hub *can* choose to give no inbound liquidity to a user: they get tokens on L2 to spend, but they cannot (safely) receive. If they receive, it's just credit that someone else will hopefully buy from them. But the design does not assume that, of course, it allows receiving up to a "cap": the user negotiates that extra potential receiving amount (inbound liquidity) when it sets up the contract with the hub. The second is the on-chain dispute, whose size depends on the gadget: four or five transactions and 10–31 kvB under BABE, lichen's gadget, against tens of transactions and 100–200 kvB under BitVMX, the first, both as measured on Mutinynet [4, 3].

2. Contracts with the hub

Alice, the user, has a contract with a **Hub**, instantiated as a 2 of 2 output (see Section 5 for the possibility of embedding this inside a Lightning channel), with these terms:

D	Alice's deposit: she puts D bitcoin in and receives D of the hub's tokens on the L2
$V_{\max}$	the most she can withdraw: her D plus the hub's liquidity $V_{\max} - D$ (which can be zero)[2]
r_A, r_H	the *contract reserves*, for fees. Forfeited by losing side of a dispute, otherwise returned to owner. (Section 5.2); the contract holds $V_{\max} + r_A + r_H$
b	the amount she withdraws, by returning b tokens to the hub on the L2 with the memo c
c	the contract's identifier, its memo
T_{close}	the contract's end: with no withdrawal by then, the hub takes it

Every token is a liability of the hub, collateralised by the contract of whoever holds it, within that holder's cap; within $V_{\max}$ and before T_{close}, Alice trusts the hub for nothing, not even to be online: a withdrawal it does not answer is paid by timeout.

Opening is atomic. Alice's D goes into the contract and this entitles her D tokens on the L2. This must be atomic: a hub that took the funding and never minted would leave her nothing to return, and the default at T_{close} would hand it her D; a hub that minted first could be left with tokens backed by no contract. Alice first pays a deposit output[3], the hub's key and hers together, or hers alone after a timeout. The hub then mints D to the key $P = H(A \,\|\, T) \cdot A + T$, where A is Alice's L2 key and $T = t \cdot G$ a point of the funding transaction's own (the coefficient keeps Alice from choosing A against T), and Alice, once she sees that mint final on L2, signs the funding's deposit input as an adaptor pre-signature locked to T. The hub can lock the deposit only by completing the adaptor, which publishes t and so unlocks her tokens. The hub's side needs no refund: if it never broadcasts, Alice refunds the deposit, and the locked tokens, which

[2] A hub can charge for its liquidity: for a fee f it mints Alice $D - f$ tokens, and the cap is $D - f$ plus the liquidity. Nothing below depends on this, so we leave the fee out.

[3] A well known design pattern to avoid the need for Alice's external wallet to support some kind of co-signing event

cost nothing to print, stay where they are. Its one risk is timing: t is public once the funding is in the mempool, so it broadcasts only well before the deposit's refund matures.

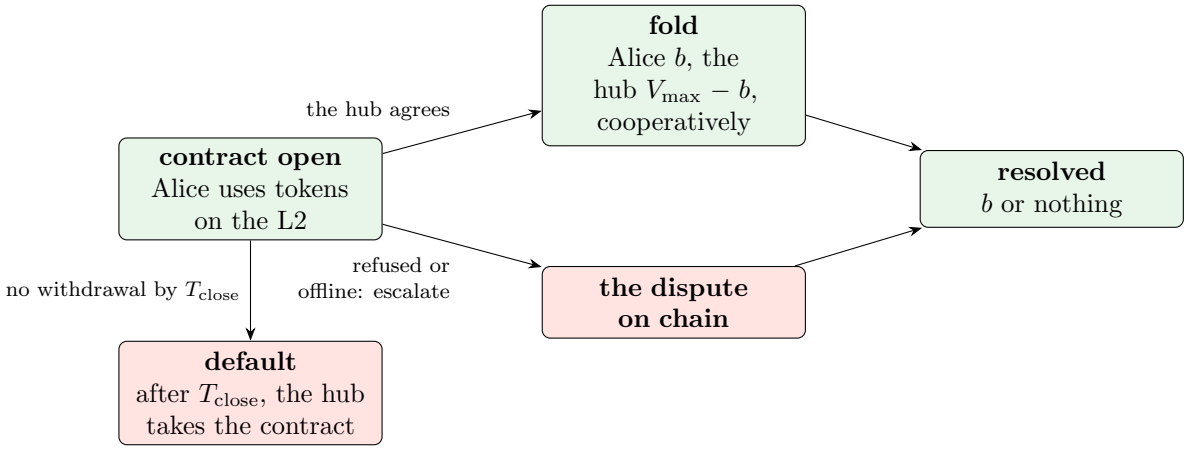


Figure 1: The life of a contract. Green states settle cooperatively (and could remain offchain in channels).

3. How a withdrawal from the L2 is proved valid

3.1. The statement proved

The details of the statement proved will of course depend on the L2's architecture. In abstract, the withdrawal request must be accompanied by a satisfaction of the predicate:

$$\mathcal{R}_L(\mathcal{D}, c, \ldots; w = (b, \ldots))$$

where $\mathcal{D}$ is the deployment context (the settings of the L2), c is the contract in Lichen between hub and user, b is the amount of the withdrawal claimed (counted, in the statement, in the contract's units: the $\bar{b}$ of Section 5.2), and w is the secret witness used by the user to satisfy the predicate.

A note on secret inputs and public inputs. Some parts of w may not actually be secrets. Here we specifically include the withdrawal amount b; a peculiarity of our chosen verification gadget BABE is that practical usage of it requires a cut-and-choose setup that fixes the public input at contract setup; thus including any later-defined data must necessarily be in w. The mechanism to make this work is described in [4, §5].

Our verification gadget will verify a proof of satisfaction (specifically a Groth16 proof string) of this predicate.

Let's take the simplest conceivable example, a single signing entity in full control of the L2. In that case, w will include a signature by the signer, of the current state, and an inclusion proof of a withdrawal transaction/note whose value is b.

In more realistically interesting cases, for example:

- An L2 managed by a large quorum with threshold signing of some form
- an L2 hosted on another blockchain such as Ethereum
- an L2 using a single use seal on Bitcoin itself to achieve finality and validity proofs of state transition (such as our own design described in [4])

...the degree to which trustless exit can be claimed will vary, but that is a matter for the L2 architecture: lichen simply enforces the L2's ruleset, and that part *is* trustless.

In the remainder of Section 3, we will focus on the mechanical details by which this is achieved.

3.2. From a program to a verifiable claim

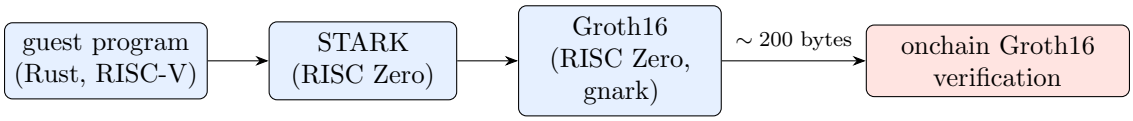


Figure 2: The withdrawal statement runs in RISC Zero's zkVM; its proof is compressed to a Groth16 proof, which the verification gadget checks on Bitcoin (Section 4) [16]. An explainer covers each stage, under both gadgets [2].

What the contract must bind. Whatever gadget settles a dispute, the contract must tie the disputed proof to three things: the program, since a valid proof of another program proves nothing; this contract's terms, the contract c and identifier $\mathcal{D}$ (the deployment's keys, and any other deployment-specific parameters such as a genesis), so that a proof for another contract or deployment fails; and the amount b, in a form Script can read, for the payout (Section 5.2). With RISC Zero, the proof's public input is a digest of the program's image id and its journal $b \,\|\, c \,\|\, \mathcal{D}$; because RISC Zero's Groth16 key is the same for every program, the image id must be checked explicitly. How the binding is enforced is the gadget's business. Under BitVMX, Alice signs the verifier's input word by word and the contract checks the image id, c and $\mathcal{D}$, and reads b, from those signatures [3, §2]. Under BABE, the image id, c and $\mathcal{D}$ are fixed when the contract is set up, and b, which cannot be, is bound by the hub's signature on the amount Alice asserts [4, §5].

4. Settling a dispute on Bitcoin

The contract is a single taproot output, 2-of-2 between Alice and the hub with three spending leaves. Transactions pre-signed at opening let either party carry out its side of a dispute without the other. What settles a dispute is the on-chain *verification gadget*.

The idea is, given a proof whose input binds the program's context $(c, \mathcal{D}, b \ldots)$ as mentioned above, adjudicate the claim on Bitcoin. The context is checked, the amount b is read into Script, and the loser pays. To emphasize: this is all verification. The proving side, up to the Groth16 proof, is the same whichever gadget is used, but for the statement's public output and BABE's check of the hub's signature on b.

4.1. Values that Script can read: one-time signatures

Bitcoin Script can check a signature only on the spending transaction, never on a message of the signer's choosing. A contract that must act on a value a party chooses later, above all Alice's b, uses Winternitz one-time signatures, which Script verifies by hashing alone, leaving the signed digits on the stack to compare [13, 12]. The keys are exchanged when the contract opens, one per value, each used once; signing two different values under one key is *equivocation*, which a leaf can prove, giving the signer's stake to its counterparty. Every gadget below reads b this way.

4.2. The first gadget: BitVMX

The first experiments were done with BitVMX [12], a heavier but simpler mechanism than BABE. BitVMX settles a claim about a RISC-V program's run by an interactive search over its execution. Alice claims that the Groth16 verifier, run on her signed input, halts with success; if the hub disagrees, they narrow the run down, eight segments a round, to a single step, which Alice then proves in Script or the hub disproves. Each move is a pre-signed transaction carrying the mover's one-time signatures, and a lie about a memory read is caught through an authenticated jump list instead of a second search. The companion paper [3] gives the transaction graph and the measurements from tests carried out on regtest and Mutinynet.

4.3. Lichen's current gadget: BABE with authenticated amounts

BABE [5] replaces the search with a challenge. At setup, the hub garbles a small circuit that turns the first element of Alice's proof into the key of a witness encryption, so that only a valid proof unlocks the message she needs to be paid. Alice posts that element, signed; if the hub challenges, it must reveal the circuit's input labels for it, and with a valid proof Alice decrypts and posts the message. Against a hub that garbles wrongly, Alice checks the garbling by cut-and-choose: the hub makes 78 instances, she opens 68 and keeps 10, and lichen replaces BABE's soldering with verifiable secret sharing, taking the design from Glock [6], so that the setup takes about 19 seconds and the kept instances about 240 MiB. BABE's obstacle is that the statement is fixed at setup, while Alice chooses b only when she withdraws. The amount therefore moves into the witness, together with the hub's one-time signature on it, which the hub must give on chain for exactly the amount Alice asserted, or lose by timeout. This is our proposal [9]. Unlike GOAT's cryptographic alternative [8], in our proposal, BABE's cryptography is unchanged. It is built as lichen's default gadget. A companion paper [4] gives the construction as built, a sketch of its security, and the measurements.

5. The contract logic

5.1. Three ways out

A contract ends in one of three ways; its output carries three leaves (not including a revocation if inside a channel):

- the *fold*: a cooperative update of the channel (Alice $b + r_A$, the hub $V_{\max} - b + r_H$), the normal case, nothing on chain;
- `default`: after T_{close}, a transaction pre-signed at the contract's opening pays the hub $V_{\max} +$

	BitVMX	BABE
a withdrawal the hub never answers	23 kvB, 5 transactions	∼1.2 kvB, 2 (est.; played on regtest)
a true claim refused, played to the end	∼120 kvB, 23 transactions	9.7 kvB, 4; 30.5 kvB, 5 if the hub challenges
a false claim	100–200 kvB	29.9 kvB, 5
the worst case	∼200 kvB (a lie about a read)	30.5 kvB
pre-signed per contract	141 transactions	19
setup per contract, beyond pre-signing	none	19 s on a laptop; ∼240 MiB stored by the user
contracts a hub can hold, disputes lasting a week*	3,300 (8,350 with a window per move)	∼47,000

Table 1: The two gadgets, as measured on Mutinynet but where marked [3, 4]. *Before congesting the chain becomes a profitable attack: for N contracts, every move due within a window of w blocks must fit in it, $Ns \leq w \cdot 1\,\text{MvB}$ [17], and the dispute lasts the sum of its windows.

r_H and returns Alice's reserve r_A. This is the liveness requirement on Alice: turn up at the end, i.e. it's a very low bar requirement; whereas the hub must always be ready to answer disputes.

- `request`: Alice's claim goes on chain as the first step of the dispute.

On its own, or in a channel? A contract is a standalone output, a 2-of-2 between Alice and the hub, opened by one on-chain transaction and folded by another. This is the design as built, and the one this paper assumes. The same output could sit in a Lightning channel commitment, making the fold a channel update and letting deposits arrive as Lightning payments, as earlier LN-GAP code demonstrates. But the price is high. Every channel update re-signs the contract's pre-signed transactions for both commitments (20 each under BABE, 141 under BitVMX); renewal, though off chain, is still a new contract and, under BABE, a new setup; and a channel's revoked states bring back the always-on watchtower that a standalone contract avoids (Section 5.3). Since we have switched to BABE as our main verification gadget, this option becomes less attractive unless some new engineering is possible to reduce the setup cost.

5.2. Outcomes

The dispute only ever decides Alice's withdrawal: b if her claim stands, nothing if it fails; the rest of $V_{\max}$ goes to the hub. The reserves follow the dispute: the loser's goes to the winner, whether it lost on the merits, by signing two values of b (`equiv_b`), or by not answering in time, less the fee floors F of the dispute's pre-signed transactions, which the loser's reserve pays. So losing costs the two sides differently. Alice, ruled against, loses the whole contract, her reserve included. The hub, ruled against, loses its reserve and keeps $V_{\max} - b$, since b was all the dispute decided. Of the contract's $V_{\max} + r_A + r_H$:

outcome	Alice	the hub
fold	$b + r_A$	$V_{\max} - b + r_H$
`default`, no withdrawal by T_{close}	r_A	$V_{\max} + r_H$
Alice wins a dispute[4]	$b + r_A + r_H - F$	$V_{\max} - b$
Alice loses a dispute	0	$V_{\max} + r_A + r_H - F$

Paying b: the bit outputs. When Alice wins, the payout must send her b, a value she chose when she claimed; but the payout is pre-signed, so its amounts are fixed, and Script cannot compute an amount. One pre-signed transaction per possible b would be too many. Instead, as for numeric DLCs [20], the payout decomposes the amount in binary. A contract has K bits and a *unit* of u sats, and the payout has one output of $2^i u$ sats for each bit i from 0 to $K-1$. The value decomposed is not b itself but b counted in units, $\bar{b} = \lfloor b/u \rfloor$: this is the word Alice signs with a one-time key and her proof commits to, and the unit is among the contract's terms that the statement binds, so a proof is always read in its own contract's unit. Each bit output has three leaves:

leaf	spent by	condition
Alice's	Alice, after a delay δ	her one-time signature on $\bar{b}$ has bit i set
the hub's	the hub	the same signature has bit i clear
`equiv_b`	the hub	two signatures on different values of $\bar{b}$

Since $\bar{b}$ is under a one-time key, the bits Alice can claim are those of the single value she signed, and their outputs sum to $\bar{b}u$, which is b rounded down to a multiple of u; the hub takes the rest, including the remainder of fewer than u sats. Her leaves wait δ so that the hub can show an equivocation first.

The unit and the cap. K and u are fixed at opening, from the cap the two sides agree. An output under 512 sats would be dust, so $u \geq 512$. K is the largest number of bits, at most 32 (the width of $\bar{b}$), for which $512\,(2^K - 1)$ is within the cap, and u is the cap divided by $2^K - 1$, rounded up. Then

$$V_{\max} = u\,(2^K - 1),$$

which is the cap, or exceeds it by fewer than 2^K sats (under 0.2%), with u between 512 and about 1,024 sats. A fixed unit of 512 sats would allow only caps of the form $512\,(2^K - 1)$, and a contract would lock up to twice the cap it was opened for. As an example, a cap of 0.1 BTC gives $K = 14$ and $u = 611$ sats, so $V_{\max} = 10{,}010{,}013$ sats in 14 bit outputs. If Alice returns $b = 250{,}000$ sats, then $\bar{b} = 409 = 2^8 + 2^7 + 2^4 + 2^3 + 2^0$; she takes the outputs for bits 0, 3, 4, 7 and 8, 249,899 sats in all, and the hub keeps 101 sats of rounding along with the rest.

Each output's spend is about 330 vB, and each party can sweep its outputs in one transaction. The reserves sit in one more output, paid to the winner, with an `equiv_b` leaf of its own. In the cooperative fold none of this appears: the fold pays b exactly, in sats.

[4] Strictly, a dispute pays b rounded down to a multiple of the contract's unit u, the remainder going to the hub; see the bit outputs below.

The contract reserve. Without reserves, a false claim costs Alice nothing once she has spent her tokens, so it is a free option on the hub missing a response window; and a refusal costs the hub only fees, so it can refuse and hope Alice fails to finish. So each side locks a reserve, forfeited to the other if it loses a dispute. Reserves alone deter expensively: if p is the chance that the hub misses a window and q the chance that Alice fails to finish, the worst cases need $r_A > pS$ and $r_H > qS$, $S = V_{\max} + r_A + r_H$, about $(p+q)V_{\max}$ in all when both are small, and already $V_{\max}/8$ a side at $p = q = 10\%$. In practice the reserves pay for the dispute: each is at least the fee floors of the deepest dispute's pre-signed transactions, 30,981 sats under BABE [4, §9], and lichen's hub takes the larger of that and 2% of the cap. What deters is liveness: the hub's, which keeps p small (though an outage exposes all its contracts at once, Section 6), and Alice's tower (Section 5.3), which keeps q small. The binding cost is the hub's reserve, which must cover Alice's worst-case dispute however small her balance: about 31 kvB under BABE, 31,000–310,000 sats at 1–10 sat/vB, so a contract suits balances from about a hundred thousand sats; larger ones cost nothing more, since the dispute does not grow with b.

5.3. User liveness and watchtowers

The user needs to be online at two times only: before T_{close}, to withdraw or renew, and during a dispute, which only she can start. How demanding the dispute is depends on the gadget. Under BABE she signs b for her request, and, once the hub has signed it too, her proof's first element for her assertion, due only by a deadline shortly before T_{close}. Her one move under time pressure is her answer to a challenge: a hash preimage, posted in a transaction she signed when the contract opened. Under BitVMX it is a dozen moves over hours (days on mainnet), each due within a window, and each is her one-time signature on values that depend on the hub's last move, so they cannot be signed in advance and handed to a watchtower, as Lightning's penalty transactions are.

Because a standalone contract gives the hub nothing to broadcast against her, Alice can delegate in a way Lightning cannot: to a *tower* of her own, started only when a withdrawal is refused and discarded after. Under BABE it holds signatures only, hers on b, on her proof's first element and on the answer, and her fee budget's key: no key that signs a move, so at worst it stays silent, and several can run at once, run by strangers. One played a dispute on Mutinynet from lichen's Docker image on a rented machine, while Alice's own device did nothing from handing it the dispute to sweeping her payout [4, §7]. Under BitVMX it holds her contract's pre-signed transactions and the keys for her moves, but not the key to her amount, so it can play her side, and at worst play it badly, but cannot claim a different amount; lichen's BitVMX tower proved the withdrawal and played a hostile hub to the payout on Mutinynet in about 75 minutes [3, §10]. Embedding the contract in a Lightning channel gives this up: a channel's revoked states bring back the need for an always-on watchtower.

6. Scaling with multiple hubs

If your chosen L2 is properly trust minimized (so that you can always access a valid claim to the money you own, to pass to the lichen verification gadget), then the worst remaining failure mode for a Lichen-style L2 is mass exit. As we know even in Lightning there is the idea that, if the number of users is high enough, mass publication of old/invalid states could lead to an excessive reliance on prompt confirmation on a blockchain where space is a scarce resource.

Now imagine lichen similarly, but with that problem exacerbated: a hub holding 60,000 users (note: the problem is not *necessarily* any better with the 60k spread over multiple hubs). Now each withdrawal may take a number of transactions and a chunk of vB; as we noted in Table 1, this is about 30 kvB worst case with our chosen gadget BABE. It's clearly the case that a malicious hub can trigger a large block space demand and, with a lot of difficulty to be fair, *could* steal from many honest users at once depending on the order in which transactions get confirmed. The same attack exists in reverse: if a user-attack generates a ton of Sybil contracts with one hub, they could trigger mass exit with fraudulent exit requests.

It is worth mentioning that the more likely failure mode — that is of hub infrastructure failure leading to offlineness — tends to use up less onchain space with any verifier gadget used for the onchain transactions, but it can still be quite significant, even here.

Two things must be chosen to get a sense of the potential safe scale of a Lichen L2: how long is the dispute phase allowed to last? And, how much fees must be held in reserve by both parties to ensure that the dispute can fully play out in time? Given this data, some specific, though estimated, numbers of how many users a hub can support, can be generated. These numbers are laid out in [3] and [4].

We can improve these figures on *some* axes by having multiple hubs. If we had 20 distinct hubs of 3000 users and not 1 hub of 60,000 it would reduce some risk for users in particular, and also reduce the liquidity burden on individual hubs. Which leads to the question:

Can you pay users in a different hub? Certainly you can, with some infrastructure. There's more than one way to do it, but for brevity we describe the simplest: if Hub 1 and Hub 2 exist, with their own distinct ledgers, Alice on Hub 1 can pay Bob on Hub 2, in bitcoin, if Hub 2 has a contract on Hub 1 with inbound capacity. She simply pays Hub2's address on Hub 1's ledger, contingent on an atomic swap set up with the payment to Bob on Hub 2's ledger. There could also be routing, but the principle is clear.

Different ledgers? It seems natural in this multi-hub world to allow users to use a Hub whose ledger rules (e.g. does it use shielded transactions or smart contracts or ..) can be distinct and whose consensus establishing mechanisms are distinct. Alternatively they could all rely on the same finality and proof of validity, in one ledger, as distinct assets.

7. Costs

Some costs will be specific to the L2 architecture. Others depend on the verifier gadget chosen; here we focus on figures for our chosen gadget BABE. Yet other costs come from the generic Risc Zero architecture chosen:

Can a user dispute on her own hardware? A dispute needs a non-urgent (only T_{close} bounds a withdrawal) but non-trivial computation from Alice (though nothing is needed in the cooperative case, where the hub reads the layer 2 directly). That is, a proof of her withdrawal. As built, the statement costs 389,020 zkVM cycles, one segment, using RISC Zero's accelerators (about 10 cycles for a 256-bit modular multiplication, 68 for a SHA-256 block [18]); without them it was 5.9 million, almost all of them in the sequencer's signature. Proving it takes about

30 s on an Apple M4 Pro's CPU (est., from a measured segment of the same size) and 359 s on a 4-vCPU x86 server, which smaller segments reduce [19]; a CUDA GPU would be faster still. BABE's statement, which also checks the hub's signature on b, runs in about 480,000 cycles, still one segment, and proves in 640–660 s on that server; under BABE Alice proves only after the hub has signed b on chain, and has until shortly before T_{close} to do it. The Groth16 wrap is a fixed cost, run in RISC Zero's Docker image: about 4 minutes on that server and 134 s on the laptop, with 8 GB of memory at peak; it can be delegated, since the wrapper sees only the receipt and its public journal. A phone is plausible for the proof with small segments and a delegated wrap.

Opening a contract. Under BABE, opening costs the hub about ten seconds of garbling (19 s in all, with Alice's checks) and Alice a download of about 240 MiB, the instances she keeps until the contract closes; both are paid again at renewal [4, §9]. This download size could possibly be dramatically reduced with Duty Free Bits [7], but this has not yet been investigated, so for now counts only as speculation.

8. Positioning

We have already briefly discussed how this is different from just "payments over Lightning via a hub" in Section 1. We'll list here some key differences to some other existing L2 or L2-like Bitcoin constructions.

Against BitVM2 and Union. We consider BitVM2 [14], and Union [15], a bridge to Rootstock built on BitVMX by BitVMX's own authors. Both release bitcoin on Bitcoin against a claim about a program's execution, settled by fraud proof, with no change to consensus, and, like lichen, inherit the assumptions of a side system they do not secure. They differ in who the parties are, and most of the rest follows (Table 2).

The bridges pool their users' bitcoin, and a pool shared by users not yet known must be released by transactions that someone signs in advance on their behalf: BitVM2's committee, Union's functionaries. What then shapes the dispute is who may challenge a false claim. BitVM2 opens challenge to anyone, since anyone might be the one robbed; with the challengers unknown when the graph is signed, no interactive game can be pre-signed with them, so its dispute is a single round, in which the operator puts the verifier's whole intermediate state on chain at once. Union closes challenge to its functionaries, who are known at setup, and so can pre-sign BitVMX's interactive search between every pair of them, which puts less data on chain over many more rounds. Its price is that safety needs an honest functionary not only at setup but online whenever a claim is made, and that the pairwise games, and the bonds that fund them, grow with the number of functionaries. A lichen contract is not pooled: it has two parties, both present when it opens. They pre-sign it themselves, so there is no committee and no setup trust; only the hub can be robbed by a false claim, so only the hub challenges; and the dispute between them needs no search: a challenge, answered from garbled circuits Alice checked when the contract opened (under BitVMX, it is Union's game with a single pair). **The bridges ask their users to trust one signer at setup and one challenger afterwards, and to be present for none of it; lichen asks them to trust no one, but to be present for their own disputes**.

	a BitVM2 bridge	Union	lichen
custody	one pool: fixed-size outputs, one per peg-in, owned by no user; an operator is reimbursed from any of them		a contract for each user, with the hub
pre-signed by	a committee, for every operator's graph on every deposit	the N functionaries, a two-party game for every pair of them on every peg-in	the user and the hub
setup trust	one honest committee member	one honest functionary	none
the claimant	an operator, who paid the user from its own funds and claims reimbursement	a functionary, likewise	the user, for her own withdrawal
the challengers	anyone; safety needs one honest one watching	the other functionaries; safety needs one honest one watching	the hub alone, the only party a false claim can rob
the dispute	one round: the operator asserts the verifier's intermediate values, a challenger reveals one failing chunk (scripts up to 4 MB); 42 blocks	BitVMX's interactive search, 4-ary: about 270 kvB at worst; a heavier chain is answered in a nested game	under BABE, at most five pre-signed transactions, about 30 kvB, whatever the claim
the user's part in a dispute	none: she was paid up front	none, likewise	a party: she plays her side, or her tower does, holding none of her keys
a refused withdrawal	it waits for a willing operator	it waits for a willing functionary	she enforces it on chain herself
stakes	operators' collateral; challengers fund the assert	bonds sized to dispute costs, shared by a packet of peg-ins	the contract reserves r_A, r_H
liquidity	operators front withdrawals until reimbursed	functionaries likewise, one peg-out each at a time	the hub locks $V_{\max} - D + r_H$ for each user until T_{close}
the asset	bridged bitcoin, fixed amounts	bridged bitcoin, fixed amounts	variable amount bitcoin within each user's cap, credit beyond it
expiry	none	none	T_{close}: withdraw, or renew, before it

Table 2: Two bridges and lichen. The bridges' figures are their authors' estimates; lichen's depend on the gadget; see [3], [4] for measurements and estimates.

Other designs, briefly.

- *Ecash* (Cashu, Fedimint): lichen removes the mint's power to take the funds, within each user's cap, at the price of the hub's locked liquidity; the mint may print as it likes, but every redemption is against its own collateral.
- *Ark*: a shared tree of outputs with an operator and an expiry, where a lichen contract is per user; both ask users to act before an expiry. An Ark balance is a claim on a specific pre-signed output, exitable by its holder alone; a lichen balance is held in sats on a programmable ledger and redeemed one-for-one in bitcoin from the hub's collateral, without the hub's cooperation, up to the holder's contract cap, and is credit on the hub beyond it.
- *Payment pools* (one shared output, balances updated by all members): need every member's signature for an update and a covenant (or an exponential tree) for unilateral exit; a lichen transfer needs only its sender, and exit needs no consensus change.

9. Implementation

The design is implemented in proof-of-concept form as two code bases, LN-GAP [10] and Lichen [11], with tests and demos executed on bitcoin regtest and on mutinynet. Any bitcoin-related data in this paper come from the concrete executions there, including playing out disputes fully.

The implementation uses the BABE gadget [4] by default, with the BitVMX gadget [3] also built, and a shielded-notes L2 for private offchain transfers. Details on this implemented L2 are found in the accompanying paper [4].

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